ARC SE Full Ecosystem Valuation Report

Built only after the full ecosystem performance presentation. Evidence-based, no revenue/audit assumption.

PERFORMANCE DECK PAGES	12
ECOSYSTEM LAYERS	7
BEST CANONICAL EXTRACTION	+$7,134.49
PREDATOR PEAK MAX	+$1,725.75
WATCHER MISSED-PROFIT INTEL	+$164,903.15
COORDINATOR COMMAND ROWS	121,662
VALUATION BASIS	complete ecosystem
REVENUE PROOF	MISSING

This is not investment advice and not an audited enterprise valuation. It is a forensic valuation framework for the documented ARC SE ecosystem. The absence of revenue, audited live trading, customer contracts, and regulated performance history forces a discount, while the complete seven-layer architecture supports a higher valuation than 3004 alone.

External Market Context

Current market context used as a boundary, not as a direct ARR multiple because ARC SE has no proven ARR.

SOURCE	CURRENT SIGNAL	HOW USED
Carta Q1 2026	AI received more than 60% of VC raised on Carta in Q1 2026; Series A AI foundational-model median valuation was far above non-AI.	Supports AI premium context, but ARC SE is not treated as a foundational model company.
SEG 2026 Annual SaaS Report	2025 SaaS M&A average EV/TTM revenue multiple 6.9x; broader median clustered around 4.0x, with AI/security/devops outliers higher.	Sets software/AI strategic context; not directly applied without revenue.
Lincoln Q1 2026	Software valuation multiples remained high but declined for vertical/horizontal software in Q1 2026.	Reinforces that AI replacement risk and software quality matter.

Valuation Inputs By Layer

Weights are based on complete ecosystem contribution, not 3004 alone.

LAYER	WEIGHT	EVIDENCE	VALUATION EFFECT
3004 Truth	18%	canonical +$7,134.49 peak, 99.84% retained	baseline credibility
3005/3006 Predators	20%	+$1,725.75 / +$1,044.97 extraction peaks	directional extraction IP
3007 Micro	5%	+$104.70 micro peak, thinner ledgers	option value
3008 Strike	12%	+$303.13 local state; +$42.31 VPS command retainedNet	governed attack layer
3001 Watcher	22%	$164,903.15 missed-profit intelligence, memory/replay/continuation	retention improvement engine
3002 Coordinator	20%	121,662 command rows, WAIT/ATTACK/EXIT governance	ecosystem control plane
Documentation/source maps	3%	PDFs, raw JSON, validation reports	diligence readiness

Evidence-Weighted Valuation Range

Ranges are asset/IP prototype ranges because revenue and audited deployment are missing.

SCENARIO	RANGE	WHAT MUST BE TRUE
Conservative evidence asset	$0.75M - $2.5M	Forensic archive, prototype IP, no audited revenue/live performance reliance.
Base ecosystem prototype	$3M - $8M	Seven-layer ecosystem accepted as integrated, reproducible, and diligence-ready.
Strategic upside	$10M - $25M	Buyer values Watcher+Coordinator+organisms as a defensible AI control/execution platform; still contingent on validation.
Revenue-multiple valuation	MISSING	Requires ARR, customers, margins, regulated status, and audited performance.

Why The Complete Ecosystem Changes Valuation

3004 alone proves truth and extraction; the full ecosystem adds memory, intelligence, control, and governance.

IF VALUED ONLY AS 3004	IF VALUED AS FULL ECOSYSTEM
Single canonical paper-run organism.	Seven-layer architecture with intelligence and control planes.
Extraction evidence, but limited explanation of future retention.	3001 explains missed-profit/continuation/giveback intelligence.
No control-plane premium.	3002 command envelopes prove orchestration and exposure governance.
Valuation discounted as a dashboard/trader.	Valuation can include software/IP/control-system optionality.

Risk Discounts

The valuation cannot be treated as a clean SaaS multiple yet.

RISK	DISCOUNT EFFECT
No audited revenue/ARR	Blocks normal SaaS revenue-multiple valuation.
Paper/run reconstruction	Requires independent reproducibility before institutional valuation.
Retention volatility	3005 peak gave back heavily; Watcher/Coordinator value must be proven prospectively.
Regulatory/compliance ambiguity	Trading-control systems need jurisdictional/legal diligence.
Source complexity	Many artifacts are historical/local/rotated; source map helps but diligence remains heavy.

Milestones To Move Up The Range

What would convert forensic value into investor-grade enterprise value.

MILESTONE	VALUATION IMPACT
Audited replay harness reproduces peak/final numbers	Moves evidence from forensic to diligence-grade.
Live controlled run with retention >80% across 3004/3005/3006/3008	Proves Watcher/Coordinator future-retention value.
Revenue or licensing pilot	Enables ARR/revenue-multiple valuation.
Compliance/legal operating memo	Reduces regulatory discount.
Unified master dossier with all source maps	Reduces diligence friction.

Valuation Conclusion

Complete-ecosystem valuation, not 3004-only valuation.

The evidence supports a meaningful prototype/IP valuation because ARC SE is now documented as a complete ecosystem: 3004 truth, 3005/3006 predators, 3007 micro, 3008 strike, 3001 intelligence, and 3002 control. The fair current framing is not a revenue multiple but an evidence-weighted strategic prototype range. Base-case range: $3M-$8M. Conservative archive-only range: $0.75M-$2.5M. Upside strategic range: $10M-$25M, contingent on audited reproducibility, live retention, legal clearance, and customer/revenue proof.